2. After the preparation of ledger, the next step is the preparation of
(a) Trading account (b) Trial balance (c) Journal (d) Profit and loss account

3. The trial balance contains the balances of
(a) Only personal accounts (b) Only real accounts
(c) Only nominal accounts (d) All accounts

4. Which of the following is/are the objective(s) of preparing trial balance?
(a) Serving as the summary of all the ledger accounts
(b) Helping in the preparation of final accounts
(c) Examining arithmetical accuracy of accounts
(d) a, b and c

5. A list which contains balances of accounts to know whether the debit and credit balances are matched is
(a) Journal (b) Day book (c) Trial balance (d) Balance sheet

6. Which of the following method(s) can be used for preparing trial balance?
(a) Balance method (b) Total method
(c) Total and Balance method (d) a, b and c

7. While preparing the trial balance, the accountant finds that the total of the credit column is short by ₹ 200. This difference will be
(a) Debited to suspense account
(b) Credited to suspense account
(c) Adjusted to any of the debit balance
(d) Adjusted to any of the credit balance

8. The account which has a debit balance and is shown in the debit column of the trial balance is
(a) Sundry creditors account (b) Bills payable account
(c) Drawings account (d) Capital account

9. The difference of totals of both debit and credit side of trial balance is transferred to:
(a) Trading account (b) Difference account
(c) Suspense account (d) Miscellaneous account

10. Trial balance is prepared:
(a) At the end of the year (b) On a particular date
(c) For a year (d) None of the above

Answer

1 (a)	2 (b)	3 (d)	4 (d)	5 (c)	6 (d)	7 (b)	8 (c)	9 (c)	10 (b)

II Very short answer questions

1. What is trial balance?
2. Give the format of trial balance.
3. What are the methods of preparation of trial balance?

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